

Amazon.com, Inc.

AMZN NASDAQ

Buy **\$251.35** ▼ **2.19%** 12M Price Target **\$295.00** 52-Week Range **\$196.00 – \$287.20**

Market Cap
\$2.71T

AMZN: Chip Deals & Satellite Wins, But AI Capex Fears Bite

WHAT HAPPENED

- AMZN dropped 2.2% on lighter volume (16M vs. 25-30M recent avg), and the culprit looks like that GuruFocus piece on the "new cost of the AI boom" — the market is starting to sweat about how much Amazon, Meta, and Google are spending on AI infrastructure vs. what they're earning back. Translation: investors love the AI story until they see the capex bill.
- On the good news side: Amazon signed Qualcomm to make custom data center chips (reduces reliance on NVIDIA, saves money long-term) and landed AT&T as the first big telecom customer for Project Kuiper satellite broadband — that's Amazon's Starlink competitor finally getting real commercial traction.

WHY IT MATTERS

Here's the tension: Amazon is building a moat that will look brilliant in 3 years but ugly on the next few earnings reports. The Qualcomm chip deal means they're serious about breaking NVIDIA's pricing power — every dollar saved on chips flows straight to AWS margins in 2027+. The AT&T Kuiper deal is bigger than it sounds because it validates Amazon as a legitimate telecom infrastructure provider, opening a market worth hundreds of billions. But the near-term problem is real: hyperscalers are collectively spending \$300B+ on AI infrastructure this year and Wall Street wants to see revenue catch up. Watch for AWS growth to reaccelerate above 20% next quarter — if it does, this dip is a gift; if not, the "AI capex hangover" narrative gets louder.

POLICY & POLITICAL WATCH

Two big things on the political radar: (1) The FTC's antitrust case against Amazon is still grinding through court — a ruling could come in early 2027, and while a full breakup is unlikely, forced changes to how Amazon treats third-party sellers could hit retail margins. (2) The Trump administration's tariff regime on Chinese goods is a double-edged sword — Amazon's third-party sellers (60% of retail volume) source heavily from China, so tariffs squeeze their margins, but Amazon's own private-label and AWS businesses are relatively insulated. Also watch the CHIPS Act 2.0 discussions in Congress — any subsidies for domestic chip production directly benefit Amazon's Annapurna/Trainium custom silicon strategy.

IS IT EXPENSIVE?

At \$251, AMZN trades around 36x forward earnings — meaning you're paying \$36 for every \$1 of profit they'll make next year. That's pricey vs. the S&P at ~22x, but cheaper than pure AI plays like NVIDIA (40x+) and it's backed by a cash-gushing retail business plus AWS. The real question isn't the P/E — it's whether AWS can grow 20%+ while capex normalizes; if yes, the multiple is reasonable, if no, this stock has 15% downside.

Key Data

Price (USD)	\$251.35
12M Price Target	\$295.00
Upside / (Downside)	+17.4%
Market Cap	\$2.71T
FY2026E Revenue	\$480M
FY2027E Revenue	\$535M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	36.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$268.00	\$255.00	\$240.00
6 Months	\$300.00	\$275.00	\$230.00
1 Year	\$330.00	\$295.00	\$220.00
2 Years	\$400.00	\$340.00	\$210.00
5 Years	\$550.00	\$430.00	\$250.00
10 Years	\$850.00	\$600.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+0.54%) — nuclear/natgas demand from AI data centers is a real narrative; hyperscalers including Amazon are signing power deals directly. Tech still up 2.4% on 5-day basis despite today's wobble.

COOLING OFF: Healthcare (-3% on the week) getting hit by drug pricing rhetoric; Comm Services softening as ad-market anxiety creeps in.

ROTATION WATCH: Money is quietly rotating from mega-cap tech into the "picks and shovels" of AI — chip designers (Marvell popped today), power companies, and data center REITs. That's a mild headwind for AMZN because investors want the beneficiaries, not the spenders.

RELATED PLAY: If you believe the AI infrastructure story, the second-order winners are power utilities (VST, CEG), custom chip designers (AVGO, MRVL), and data center REITs (EQIX, DLR) — they get paid whether or not Amazon's AI bets pan out.

WHO'S WINNING IN THIS SPACE?

- MRVL (Marvell): popped today on custom silicon demand — same theme as the Amazon-Qualcomm chip deal, market is rewarding chip designers helping hyperscalers escape NVIDIA
- QCOM (Qualcomm): got the Amazon data center chip contract — huge validation for their diversification beyond mobile

AMZN CONTEXT: Amazon is lagging the "AI enabler" trade today because it's perceived as the payer, not the receiver. But that's shortsighted — Amazon's Trainium chips and AWS Bedrock platform make them both a payer AND a receiver. When the narrative shifts back to "who's monetizing AI at scale," AMZN leads again.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$240-248 on AI capex fear pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth drops below 15% or FTC breaks up retail/cloud

Hedging: Small put spread or pair against an overheated AI pure-play